



Chick-fil-A Mexico:

A Marketing Plan for International Expansion

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EXECUTIVE SUMMARY

This paper lays out a comprehensive strategy for the International expansion of Chick-fil-A into the Mexican fast-food market. The first proposed Chick-Fil-A will open in Miguel Hidalgo, Mexico City. We have put together a well-researched analysis into every facet of this international expansion, in addition to data backed-recommendations and feasibility of success. We will cover the company background, an external analysis, a SWOT analysis, a customer analysis, competitive analysis, brand positioning, and an international marketing mix.

While opening a Chick-fil-A in the Mexican market, we will focus on a franchising entrance strategy. A franchising strategy is a method that will allow Chick-fil-A to maintain its personal brand name and standards while adapting to new cultural and regulatory environments. Mexico City is where the expansion will begin, focusing on its large population density, growing middle class, and increasing demand for premium quality fast-food service.

Our in-depth cultural, consumer and competitive analyses have proven that the Chick-fil-A franchise has potential to flourish in the Mexican fast-food market. The brand will need to make adaptations regarding: regulatory requirements, labeling laws, cultural food preferences, and the local competition. Chick-fil-A will need to especially meet the Mexican government standards and regulations in order to be a proper competitor. Our analysis has highlighted some major competitors Chick-fil-A will face when entering the Mexican market.

The analysis highlights Mexico City's competitive landscape, emphasizing the presence of established fast-food chicken brands, shifting consumer behavior, and increased interest in U.S. brands. It also outlines key environmental opportunities, including high urban foot traffic, digital ordering adoption, and the growing popularity of premium fast-food experiences.

This paper consists of eight different parts with subunits in each. In the first, we outline the background of Chick-fil-A, introducing the company, their values and standards. We then follow an analysis of the external environment. This analysis displays information on Mexico, the country Chick-fil-A will expand to, and the economic, political and legal environment of Mexico. A cultural analysis and comparison of Mexico and the United States and an analysis of Mexico's business culture and environment are also included. A SWOT analysis is then outlined followed by a customer analysis. The customer analysis describes Chick-fil-A's target market and segmentation strategies along with its market positioning. Next, we display the brands' positioning and explain a competitive analysis of how Chick-fil-A is going to enter Mexico and compete with other fast-food chains. And lastly, we share the International Marketing Mix of how Chick-fil-A will use, alter and adapt its product, pricing, placement and promotion in order to satisfy the needs of Mexican consumers.

COMPANY BACKGROUND INFORMATION

Chick-fil-A is an American fast food chain, specializing in chicken sandwiches, originally from Atlanta Georgia and founded by S. Truett Cathy in 1967. In 1946, Cathy opened a restaurant with his brother, Ben, known as *The Dwarf Grill*. Over the years, Cathy experimented with different recipes for a boneless chicken sandwich and a secret recipe that America soon fell in love with emerged. The first Chick-fil-A was opened in 1967 in Atlanta, Georgia at the Greenbrier Mall ("Chick-fil-A Profile and Case Study"). The original chicken sandwich recipe has stayed the same for the last 58 years, with small variations in products depending on the location or the season. However, the chicken sandwich never falters; a breaded, boneless chicken breast between a bun and two pickles ("Chick-fil-A Profile"). Chick-fil-A started with a slow growth business model, but still became one of the most popular fast food

restaurants in America. They did not only sell delicious, consistent food, but the quality and customer service of the company are what people were attracted to. Chick-fil-A's customer service technique has overcome the American Fast Food Chain. When greeting customers, they use the words "*My Pleasure*" over "*Thank-You*" in a "commitment to their excellent customer service [to] make every guest feel special ("Who We Are")." Chick-fil-A honors its workers and the community as well by closing its doors on Sundays in order to let people rest, spend time with family or worship if they would like ("About: It's Our Pleasure"). Third, Chick-fil-A appeals to customers through its name. The A in Chick-fil-A stands for its "Grade-A" quality chicken, ensuring every customer receives satisfaction for every meal. Chick-fil-A's service and quality shines through their entire business model, making customers extremely loyal to the brand itself.

Chick-fil-A exemplifies themselves through their mission "To Be America's Best Quick Service Restaurant at Winning and Keeping Customers." Their vision is to "Glorify God by Being a Faithful Steward of All that is Entrusted to [them and] to Have a Positive Influence on All Who Come in Contact With Chick-fil-A (Pereira)." Since their first operating restaurant, Chick-fil-A has successfully opened 3,000 restaurants across 48 states of the United States, Canada and Puerto Rico ("Who We Are"). The company has plans to expand to the United Kingdom and Singapore between the 2025-2026 year. Chick-fil-A started its operations inside of malls where they could attract numerous people all at once without accumulating much debt in the operations. Chick-fil-A employs over 200,000 people across all locations and prioritizes its employees through its culture and its values. The company values service, collaboration, drive for a purpose and pursuit of future goals. The company focuses on excellent service, a memorable experience, convenience and respect for employees' personal lives and beliefs

(“About: It’s Our Pleasure”). Chick-fil-A accounts for 38.7% of the revenue of the Fast Food Chicken Industry in the United States. The company makes \$24.7 billion in revenue in the year, and is the leading fast food chicken company in the United States (IBIS World).

ANALYSIS OF EXTERNAL ENVIRONMENT

COUNTRY BACKGROUND

Mexico is the northern-most country of Central America, but is still part of the continent of North America. It is surrounded, on the top, by North America, connecting with the states of California, Arizona, New Mexico and Texas (Left to Right on Map). Underneath, Mexico is surrounded by the countries of Guatemala and Belize, and on the Pacific Ocean side surrounded by the Caribbean Islands. The latter, right side, is the Gulf Coast (See Appendix A).

Before being colonized, Mexico was home to many Amerindian Civilizations, including Olmec, Toltec, Teotihuacan, Zapotec, Maya and Aztec civilizations. Spain then colonized Mexico in the 16th Century, but the country did not gain its independence until the early 19th century; 16th of September 1810 (“The World Factbook”).

DEMOGRAPHICS

Estimated in 2024, Mexico had a population of 130,739,927 people, and the country in total is 1,964,375 square kilometers large. The population growth rate of Mexico is about 0.72% according to the CIA.gov as of 2024. 93.8% of languages only speak Spanish in the country and about 5.4% speak Spanish and an indigenous language as their main languages. The main religions in Mexico consist of 78% Roman Catholic, 11.2% Protestant, and about 10.6% of other or unaffiliated religions. The capital of Mexico is Mexico City, also known as Ciudad de Mexico, and the country follows a federal Presidential Republic as their main government. It is part of a

developing mixed economy. Other major cities and urban populations in Mexico include Guadalajara, Monterrey, Puebla, Toluca de Lerdo and Tijuana

About $\frac{1}{4}$ of Mexico's population live in Mexico City but most of the population of the country is divided between Jalisco and Veracruz. With the population of Mexico being about 131 million people, of that, 63,899,138 are male and 66,840,789 are female (See Appendix B). About 23.3% of the population of Mexico is between the ages of 0-14, 68.6 percent is between 15-64 and 8.2 percent is 65 years and over. The median age for women in Mexico is 32.7 years and for men 28.8 with the total average being 30.8 years. Mexico's birth rate is 14.3 births per 1,000 people and death rate is 6.5 deaths per 1000 people, making the population a growing population ("The World Factbook").

ECONOMIC ENVIRONMENT

When analyzing the economic environment of Mexico, we have discussed what the economic environment is as well as four different external economic factors that will influence how we place Chick-fil-A into Mexico's market. Below, we outline the comparison of Gross Domestic Product (GDP), Consumer Price Index (CPI), Unemployment Rate, and the Big Mac Index. Mexico is an upper-middle income economy. One of their main trade partners is with the United States and is the 15th largest economy in the world. Some concerns in their economy are currently in "trade uncertainty due to slow growth, low employment and challenges with inequalities, corruption and cartel-based violence ("The World Factbook").

Gross Domestic Product, GDP, is the measurement of "the monetary value of final goods and services, sold to the final user, produced in a country in a given period of time." To quote the International Monetary Fund, GDP counts all of the output that is generated within a country and is composed of the goods and services produced for sale in the market, but can also include

educational or defense services. GDP however only accounts for paid and sold work (Callen).

When analyzing the GDP of a country, having an increase in real GDP shows that the economy of that country is doing well, and it can help us compare living conditions, employment and use of resources. Mexico's current real GDP is \$2.883 trillion (USD), their real GDP growth rate is 1.5% (2024), and their GDP per Capita is \$22,000 (USD).

Usually, to compare two countries' GDP to their economies, we would need to convert to the same currency type, which Cia.gov gives us access to. This is done through the purchasing power parity (PPP) exchange rate, which is the exchange rate that the currency in one country would be converted to in order to purchase the same amount of goods. We will talk more about this when we talk about the Big Mac Index. The Real GDP of America is \$25.676 trillion (USD), their growth rate is 2.8% and their Real GDP per capita is \$75,500 (USD). The official exchange rate that is compared is that the US stands at \$29.185 trillion (USD) for GDP and Mexico is at \$1.853 trillion (USD) as of 2024. Both countries have had steady growth over the past four years with Mexico's GDP growing by about \$50 trillion per year but with a slow down of growth from 2023 to 2024. Their growth rate decreased from 3.3% to 1.5%. The United States GDP growth rate has stayed steady and fluctuating for the past 3 years ("The World Factbook").

Earlier we stated that the Big Mac Index was also used to compare Mexico and the United States. What the Big Mac Index represents is a design published by a company called *The Economist* in 1986 to give a real-life example of the Purchasing Power Parity (PPP) in action. The idea was that a single basket of goods or services made in the same way should cost the same everywhere in the world, but in reality it does not. The Purchasing Power Parity explains "The rate at which the currency of one country would have to be converted into that of another country to buy the same amount of goods and services in each county (Callen). In this theory, the

best scenario is for the exchange rates to move toward the rate that would equalise prices of these goods or services. When comparing the Big Mac Index between Mexico and the United States we've found that the Mexican Peso is undervalued by 17.7%. What we found is that this means, compared to Mexico's entire economy, the currency equal to \$1USD does not go as far as economists or people would hope it would. For example, we will see that a Big Mac that may cost \$5.79 in the United States will cost \$5.14 in Mexico. The Economist uses a formula to find the percentage of reduction to reprice this basket of goods, which was found to be about 10.36% less in Mexico than the U.S. We use this formula later when conducting pricing strategies in Mexico. In theory, we would think that if people are making less annually, then goods and services would cost less, but with inflation or corruption higher in this country, products are costing more than we would think compared to salaries being made ("Our Big Mac Index..."). Over the years we have also found that the inflation rate of Mexico as of 2024 is estimated at 4.7 percent. This inflation rate is very strong in comparison to a steadily inflated country where the normal range of an economy is 1.5 percent to 3 percent annually ("Inflation"). The United States has an inflation rate estimated at 2.9% as of 2024 ("The World Factbook"). We will talk more about inflation of countries with our next economic environment factor, Consumer Price Index.

Consumer price index (CPI) is a measure of the average change over time in the prices paid by urban consumers for a market basket of consumers ("CPI Home"). CPI helps compare and contrast inflation over an international view, and it affects adjustments in government benefits, salaries, and pensions. Mexico's base index was 140.87 as of August 2025, with a 3.51% year over year (YOY) increase, 0.06% month to month increase, and a 4.23% core inflation rate (U.S. Department of Labor). The United States CPI reached 323.36 with a 2.9% YOY, month to month it increased 0.38%, and core inflation stood at 3.1%. Mexico's core

inflation rate is higher and demonstrates that prices are rising at a faster speed than they are in the U.S, creating stronger price pressures (Analytics, Moody's).

Mexico's unemployment rate can be considered low at 2.6%, compared with the United States 4.3%. A huge part of that is because people cannot afford to be unemployed, and many forms of work are informal ("Mexico's Informal Employment Crisis"). 54.9% of Mexicans work outside of a formal economy, which ultimately creates issues. For example, workers lack government benefits that a formal job would give them, work is unstable or poorly paid, lack of formal contracts, and government tax revenue falls. The unemployment number demonstrates a survival strategy not simply because everyone just wants to work, they have to work to survive and make it by. Purchasing power is limited because of the economic fragility of things and it illustrates a deep rooted problem about the Mexican labor market ("Employment Situation"). It is a challenging economic situation and shows the disparity of the population and what people will go through for an income.

POLITICAL AND LEGAL ENVIRONMENT

Like the United States, Mexico is divided into 31 states and a Federal District. The country operates under a federal Democratic republic with three branches: Executive, Legislative and Judicial. Like the United States, each state has its own elected governor, and each municipality has its own elected mayor. The presidential election process is held every six years, and there is only one election period per president. Mexico recently changed from a predominant party to a multiparty system. The major political parties are MORENA, PAN, and PRI. Mexico's legal system is influenced by the civil law tradition ("Manufacturing in Mexico"). The legislation is codified in five major codes: Civil, Commercial, Criminal, Civil Procedures, and Criminal Procedures. These codes are similar to the Federal Civil Code, as they are influenced

by civil law principles. Different from the United States, Mexican case law does not have precedential value. Judges look at legal treaties, doctrina, when there are disputes between cases and the law is unclear.

When entering the Mexican franchise market, we find that there are many specifics in the laws around franchising. However, positive evidence has been found that the amount of franchises is growing in Mexico and there is a positive correlation with their entrance into the economy. As of 2022 there were over “1,800 franchise systems with over 100,000 different sales points.” This in turn created almost 1 million jobs for people across the country and “contributed to 6.5 percent of the GDP” of the country. These jobs helped people in concentrated metropolitan areas of “Mexico City, Guadalajara, Puebla, Merida and Queretaro (Mondragón, 6).” The Mexican Federal Law is in charge of dictating the Environmental Health and Safety (EHS) regulatory regulations in the country, while the individual states ensure they are implemented. Under this law, there are many franchising, health regulations, as well as food and safety laws. In Mexico, a franchise exists when knowledge is transmitted to enable the franchise to sell goods or services and must be recorded with the Mexican Institute of Industrial Property.

There will also need to be changes in the packaging. Mexican labeling regulations, NOM-051, state that all prepackaged products such as, sauces, dressings, packaged desserts or chips, must have a specific spanish label. If the product exceeds the legal limit, it must have a black octagonal warning on it. Because of COFEPRIS, each franchise store in the country must obtain a permit from the government stating that Chick-fil-A meets hygiene and safety standards. To help follow COFEPRIS and NOM-051 laws, Chick-fil-A can look into local sourcing for Mexico stores. This will help with import permits, inspections, and in time for labeling and packaging approvals if the products are already within these limits. The Mexican government has

stricter advertising laws compared to the U.S. PROFECO prohibits false advertising and enforces strict fines for violations (Prodensa). Mexico also has strict rules on child-focused marketing, whereas in the United States, the Federal Trade Commission (FTC) provides guidelines but enforcement is less strict (Galeana).

CULTURAL ANALYSIS

We are also able to conduct cultural analyses in order to understand the External Environment of Mexico versus the United States. According to Geert Hofstede's cultural comparison analysis there are six different dimensions that we can use to compare two countries' cultures, predict their behavior and how their behavior is used in everyday life. These dimensions are helpful when implementing new companies into new markets and include levels of power distance, individuality, masculinity or femininity, uncertainty avoidance, long-term or short-term orientation and indulgence of a culture.

The power distance between Mexico, high, and the U.S, low, is a very extreme difference. While this level does not tell us the exact way people are going to act, it does outline some of the normalities and values of a culture. Power Distance is the extent to which there is an acceptance in inequalities between classes of people. Mexico with a higher Power Distance of 81 would be more likely to have a hierarchical society, a larger disparity between income and equality, and larger group of lower class people compared to that of the U.S. with a more neutral score of 40. When it comes to conducting business, Mexican society will most likely have an older, more traditional approach, where higher authorities are looked up to and take a high ground. The U.S. would be considered to have younger people in higher positions and have a more innovative approach to advancements (Hofstede).

An Individualistic versus Collectivistic culture can have a strong tie with power distance, but does not necessarily have to coincide with it. Mexico scores a 30, making it have a collectivist culture. The United States, however, is one of the most individualistic societies in the world with a score of 91. Where we see a difference here is that Mexico is going to have less wealth than the U.S., maybe a little less freedom or advocacy for human rights. Mexico is going to have a very collective mindset which can be seen with more gatherings of friends and family, slower pace of life and speaking in a “you” centric manner. The U.S. does have a more “self-centered” approach to life and a faster pace to their everyday life. In familial settings, Mexico may have larger age gaps in marriages and a lower divorce rate.

The level of Masculinity or Femininity in a culture is going to be described to use if a culture is more “man-like” or “woman-like.” Mexico and the U.S. are both more masculine cultures in this dimension. Mexico with a score of 69 and the U.S. with a score of 62 is going to show us that Mexico will have a slightly higher level of distinct gender roles in work and society, higher level of assertiveness or inequalities in work roles. Mexico may also have a slightly higher focus on religion in society which for Chick-fil-A could be beneficial with the company's beliefs and business model (Hofstede).

Uncertainty Avoidance can show us the extent to which members of a culture feel threatened by ambiguous or unknown situations. Mexico is high on the scale of Uncertainty Avoidance with an 82, showing us that they may have more rules in place and may want to keep more control in the government. They may have certain rules for certain things that help keep their country structured. The US falls lower in this dimension at a 46, meaning there is more room and allowance for uncertain or daring situations. This uncertainty avoidance however does not stop Mexico from choosing situations that may have an unknown outcome, it mainly brings

discomfort in situations where the outcome is unknown (“Mexico Business Etiquette, Culture & Manners”).

Mexico and the US are also similar with a short term orientation to their culture. Mexico with a score of 24 and the US with 26 are very even and stagnant with each other. Having a short term orientation is going to show us the culture will have more fixed norms, in the way they conduct business, through knowing people, and values are related to the past and present rather than future. There will be more national pride in the US or Mexico with a short term orientation and traditions and values will usually be seen as stagnant and consistent rather than ever changing.

Lastly Mexico has an extremely high score of indulgence in Hofstede’s analysis. They score 97 which is almost to the extreme of what Hofstede explains in his detail. We will see that Mexico will have an extremely high sense of leisure rather than work ethic. We see how this correlates with Mexico having higher birthrates, the importance of friends and family, seen as happier and healthier, more optimistic and extroverted and a very free society. This helps when you see Mexico having more music and lively events, food and festivals all over their cities (Hofstede).

BUSINESS ENVIRONMENT

Outlining the business environment and culture of Mexico entailed many differences in culture than those of the United States. There are many cultural differences in Mexico. Relationships and trust are valued more than seniority or strict scheduling, even in the business world. This means communication between managers and employees is often more personal and conversational rather than direct and efficient. The same communication style should be used when handling customers to build strong, relationship-based service. People in Mexico are also

more flexible with time and expect others to be the same. This could cause some issues if employees clock in later than expected. However, being about 15–20 minutes late is generally acceptable; anything beyond that is considered unprofessional or rude. When it comes to appointments, they are usually planned in advance but handled with flexibility.

Mexico, similar to the United States, observes many religious and federal holidays, as well as government-mandated paid time off. For federal holidays such as Independence Day, Revolution Day, and others, Chick-fil-A will likely need to close, much like it does in the U.S. The company can also maintain its Christian-based practice of closing on Sundays. During religious holidays that are not government-mandated, Chick-fil-A could offer incentives such as extra pay, similar to what it already does in the U.S. for certain holidays. In Mexico, the government requires at least 12 paid vacation days after one full year of employment, even for part-time workers. This means Chick-fil-A, which currently bases PTO on franchise owner discretion, will need to adapt to comply with these labor laws.

Mexico has a specific form of doing business, so following correct etiquette is crucial when trying to enter the business world. First off, Mexicans are very conscious when it comes to attire and people are expected to dress formally in both business and social situations. It is very important to be dressed well as it demonstrates a level of respect in both social and business situations. Gift giving is additionally a significant factor to gain a positive impression, but not required. Simple gifts are looked at as an action of good will after a first business meeting or transaction. It is also important to be mindful of cultural norms and ethics when presenting a gift. Tipping in Mexico is almost always expected, waitstaff heavily rely on tips as the majority of their wages (Drillinger). It depends on the location of the business on how much a tip should consist of, but on average 15-20% is recommended. Business meetings can take place at

breakfast but generally mostly at lunch (“Business Practices in Mexico). Allowing the host to order first and pay for the meal is more often than not the norm. Avoiding sensitive topics like politics or religion is also a way to be respectful.

When conducting negotiations in Mexico, according to the International Trade Administration (ITA), you will likely experience a difference in directness in comparison to the United States. Mexico consists of a business culture known as a high context culture, where a society relies heavily on communication and background over just simply saying words. Mexico relies on physical motions and reading between the lines when it comes to communication. Avoiding blunt language, and instead using physical signs about how someone is trying to convey information is an example of high context use. Relationships may mean more than they do in the U.S and people in Mexico prefer doing business with trusted colleagues or even friends (Admin). More personal social interactions are valued along with eye contact and tone, this shows a level of respect. This can mostly include non-verbal cues that are harder to read into compared with the United States. There are social pressures that discourage saying “no”, so when verbally receiving a “yes” it may not mean what is blatantly said and context clues should be used to further evaluate what is truly trying to be communicated.

It is important to focus on nonverbal communication as much as possible. You should also mirror this indirectness to an extent, do not be over aggressive or direct, you may offend your Mexican counterpart (ITA). When conducting business meetings, it is important to have patience, as they often take longer than expected. Small talk is socially expected, so taking the time to get to know associates on a personal level is valued and can strengthen relationships. Lunch meetings are particularly effective and commonly held between 2:00 and 4:00 p.m., so scheduling during this period should generally be reserved for that purpose. Additionally,

business hours may differ from the standard schedule, with some offices opening as late as 10:00 a.m. and remaining open until 8:00 p.m (ITA). When conducting business in Mexico, it is essential to address others with respect and demonstrate professionalism in both appearance and behavior. Aforementioned, wearing formal attire is expected, as casual clothing may be seen as inappropriate. You should refer to Mexican business people as Señor / Señora (Mr/Mrs) followed by their last name, until they invite you to do otherwise. It is courteous for the U.S. Business person to speak at least a few words of Spanish, referring to Mexican Businessperson in the formal tense of “Usted” rather than the less formal “Tu” (Aguilera). Respect the aforementioned cultural norms around timing. Building rapport is highly valued, so taking an interest in the personal life of a counterpart to strengthen relationships. Above all, patience is key; interactions should not be rushed, as trust and respect are built gradually (ITA).

SWOT ANALYSIS

A SWOT analysis was conducted on Chick-fil-A so we could better understand what position should be taken when competing in the Mexican Fast-Food market. This analysis helped to reveal the Strengths, Weaknesses, Opportunities and Threats that Chick-fil-A faces internally and externally.

To start we outlined Chick-fil-A’s internal strengths and weaknesses. Some of the strengths of the company include their simplicity in the chicken sandwich and the secret recipe that the company owns. This makes it easy to source ingredients and keep with the same flavor profile, allowing the ability to alter menu items as preferred without straying too far from the idea and image of what the restaurant serves. In the United States, Chick-fil-A has strengths in their brand awareness, reputation and strong customer service (Bostic). This is a way Chick-fil-A is able to show that they strive to give a quality and exceptional experience to all of its

customers, which later helps with the way Chick-fil-A markets itself as an experiential company over functional or symbolic. Chick-fil-A also has strengths in their physical establishments. The franchise design is very consistent, in that most Chick-fil-A's follow the same guidelines, rules and regulations and the quality of their food does not fluctuate too much between locations. Each establishment also stays extremely clean, so many people keep loyalty knowing that Chick-fil-A keeps with health standards. Strengths in the company also apply in the treatment of employees and the expectation of management. Chick-fil-A has a strong and positive culture in their company that can help with company expansion. A high profitability in the company leads to good employee benefits as well, showing us that expanding into Mexico can help with employment as well. Lastly Chick-fil-A's rewards programs, ordering systems and involvement in the community are strong. The company uses methods of upstream ordering to help a customer place in order before they even have to wait in line, as well as rewards systems to help customers get promotional items or discounted items the more they eat at the restaurant. This helps them keep the brand loyalty they want. Chick-fil-A's community involvement attracts families and also helps Chick-fil-A with its brand awareness when it works with school or sports teams.

The weaknesses that Chick-fil-A has can either help it or showcase some concerns in implementing into the Mexico Market. Using Chick-fil-A's weaknesses we are able to understand how business processes, sourcing, menu adaptation or presence in Mexico would look or how it needs to change. We have found that in the Mexican market, Chick-fil-A has no brand awareness and a limited amount of international presence. Chick-fil-A also has a tight control on their franchise model in the sense that the corporation owns all locations. This can pose a weakness to implementing into the Mexican market, but can also be worked on through

advertising and good management processes. Chick-fil-A is also seen as a “premium” fast-food and has a limited menu. Without many options for substitutions or value meals, Chick-fil-A is going to have to be aware of what the price of their items are and how that compares to the disposable incomes of consumers in Mexico. A few more weaknesses of Chick-fil-A entail their vulnerability to supply chain disruptions, and labor and operating costs. When moving to Mexico they will have to look into sourcing locally or the regulations of how to get their ingredients and operating products delivered to them.

Throughout our research, we found many opportunities to overcome these challenges that Chick-fil-A can implement when moving into Mexico. There is a high amount of digital growth across the world right now especially with delivery, online ordering and convenience in ordering. Chick-fil-A has strengths in their own ordering systems and online apps that can be helpful when implementing in the promotion and product phase of the international marketing mix. There are also trends in sustainability and health and wellness right now, Mexico being a country with stricter laws on packaged food and more transparency with their packaging that can become an opportunity for Chick-fil-A. The franchise can look into using biodegradable or recyclable packaging as well as relying more on local sourcing which can help with strict Mexican regulations. The franchise also will have the opportunity to adapt its menu to appeal to new cultural tastes.

In a new market Chick-fil-A is bound to come across threats. The biggest threats in the Mexican market will be the direct and indirect competitors such as KFC and El Pollo Loco, who are current chicken competitors, and other fast food chains like McDonalds and Burger King. Additionally, entering a new market means adapting to new cultural preferences, regulatory and legal obligations, and finding new suppliers. Nevertheless, by leveraging Chick-fil-A’s customer

appeal, brand consistency, and its premium quality, Chick-fil-A will differentiate itself from competitors becoming a leading competitor.

CUSTOMER ANALYSIS

GEOGRAPHIC

Chick-fil-A Mexico will open its first location in Miguel Hidalgo, Mexico City, Mexico. This particular location is optimal because it will position the brand at an intersection of high income and lively commercial activity. Mexico City's population is estimated at roughly 22.8 million with an average annual increase of approximately 250 thousand people. Mexico's urban centers such as Mexico City, account for 80 percent of its gross domestic product (GDP), as well as almost 80 percent of Mexican citizens ("Report Name: Market Snapshot Report"). It is the largest city by population and one of the largest financial hubs in all of North America (World Population Review). The Chick-fil-A will open in the Miguel Hidalgo municipality, which has the highest Per Capita Income of Mexico City municipalities, and concentrates a large share of the tertiary sector (retail, tourism, banking, entertainment, etc.) Approximately 33% of Mexico city live in Moderate to Extreme poverty which stresses the importance of targeting a high income neighborhood like Miguel Hidalgo (Molina-Torres,et al.).

DEMOGRAPHIC

Chick-fil-A should target young urban parents between 26-40 years of age. According to a US *Taking Stock With Teens* Survey, Chick-fil-A is the number 1 restaurant for kids averaging 15.8 years olds. While Chick-fil-A is a hit among the teens, the purchasing power remains with adults. Chick-fil-A must stay popular with the whole family, something the kids ask for and the parents are happy to buy. In Miguel Hidalgo 18.2% of the population is 30-40 years old. Both

men and women should be targeted equally because gender distribution in Mexico City and Miguel Hidalgo is nearly evenly split (“Miguel Hidalgo: Economy, Employment”). In Mexico City, it is very common for three or more generations to live under the same roof, allowing them to reach and serve the entire family as customers (“Building You Brand in Mexico”). It is important the Chick-fil-A target upper-middle class citizens to sustain their prices, which is in alignment with the population of Miguel Hidalgo, who have an average total income of MXN 98,643 (~ \$5,336.81 USD) and per Capita Income of 0.272 (Molina-Torres, et al.).

PSYCHOGRAPHIC

Our target customers are commuters that value speed and convenience. These consumers would have a long commute from work or school and have less time to make dinner in the evenings. According to Data México, approximately 53.6% of the population in Miguel Hidalgo reported having a 16 min to 1 hr daily commute to work or school in a 2020 survey (Miguel Hidalgo; See Appendix C). Our target customer values high quality over low prices and is willing to spend their income on food. According to a 2023 report done by the United States Department of Agriculture (USDA), the average Mexico City household spends 39.4 percent of their income on food, and household spending has only increased in recent years (“Market Snapshot Report”). Chick-fil-A should target brand loyal customers that will habitually buy Chick-fil-A. New Zealand Trade and Enterprise reports that Mexican consumers show strong brand loyalty, creating high barriers to switching but opening up long-term value once they convert.

BEHAVIORAL

The Mexican fast food market shows a big want for convenience, speed, and being affordable. Cultural authenticity is an immense factor to keep in mind when looking at the Mexican food market, as it is very important to their culture (MetaStat). There is a big population of traditional type sit-down restaurants in Mexico, this creates a niche area of keeping authenticity while creating fast and quality food. Dining together as families, friends, and in groups especially during the weekends is very common as community is highly valued (MetaStat). 47.3 percent of consumers in Mexico eat out at fast-food restaurants, contributing to the \$9.5 billion net worth of the industry (Flores). A growing industry, cleanliness and organized restaurants are valued and are what consumers gravitate towards. Additionally, restaurants that participate in home delivery or online sales have seen a growth in the past few years (Flores). The restaurant industry takes up more than 5.5 million jobs, so the need to keep it strong is important. The average Mexico City household spends 39.4% of their yearly income on food, clearly demonstrating food is a relevant factor in families' lives and the increasing want for fast food has contributed to behavioral instincts.

TARGET MARKET

After analyzing Geographic, Demographic, Psychographic and Behavioral factors of consumers in Mexico we found a specific market to segment and target Chick-fil-A towards. We are going to use a concentrated, "Niche" Marketing strategy in order to focus on one select and specific group and meet the needs of those people in particular. When marketing to our target segments we have found that Chick-fil-A needs to differentiate and adapt its products and services from its competitors. Chick-fil-A initially positions itself as an experiential service because its brand loyalty depends on its outstanding customer service and quality style. By

creating a positioning map, we have found Chick-fil-A's top four competitors and created a competitive analysis in order to understand how the company should adapt its products into the Mexican market. In order to understand our exact target customer, we created a customer persona of someone we believe would be the ideal consumer in our targeted market.

OUR BEST CUSTOMER

Meet Mariana Rodríguez, a 36-year-old mother of three children, ages 14, 12, and 8. She lives in Miguel Hidalgo with her husband, children, and grandmother, representing a multi-generational household typical of Mexico City.

Each morning, Mariana drops her children off at school, a 15-minute trip, before commuting 30 minutes to her job as a marketer at an upscale hotel chain. Evenings are hectic: after work and picking up her children from sports practice, it's already 6:00 p.m., leaving little time to prepare dinner.

Mariana is searching for a high-quality, convenient meal that satisfies her family's preferences and can be picked up on the way home from work. While she occasionally visits casual restaurants like El Pollo Loco, her family views it as low quality and prefers something more premium.

Mariana is brand loyal, community-oriented, and highly values quality food and service. She enjoys American brands and perceives them as high quality and reliable, which makes her more open to trying new U.S.-based restaurants like Chick-fil-A. Mariana is catholic and prefers businesses with aligning values. Mariana appreciates consistency, convenience, and quality. Her kids value good convenience after school, flavor, and brand popularity. Mariana frequently eats out due to her busy schedule and wants something the whole family will enjoy together (See Appendix D).

BRAND POSITIONING

We have created a brand positioning map for the competitors that Chick-fil-A is against in the Mexican Market. El Pollo Loco is going to be Chick-fil-A's largest and most direct competitor in Mexico. As a smaller yet popular company Chick-fil-A is going to compete for a higher priced product with more of premium value. We have outlined competitors and their relevance on our positioning map. The four quadrants used are high-priced and inexpensive on the vertical axis and premium versus poor quality on the horizontal axis. McDonald's and Burger King are going to be on the bottom left quadrant with food that is more generic and lower priced. This is where we see that these companies offer value meals and dollar boxes. As you move up to the right you will see KFC right in the middle leaning towards premium and higher priced. Not yet premium, KFC is a close competitor to Chick-fil-A serving the same products and including similar adaptations to new markets. El Pollo Loco is going to be the highest priced and most premium product on the market positioning map. With the ingredients, flavors and popularity for the company, this is where we believe Chick-fil-A is going to need to successfully adapt their products and advertise their premium quality masterfully in order to stand out.

Chick-fil-A will be using a polycentric approach, adapting their products to the flavor profile and customer demand of the targeted market in Mexico. A polycentric approach allows regional managers to slightly change product pricing and or products based on specific circumstances in which the company operates. While using a polycentric approach Chick-fil-A will have the opportunity to: introduce new products for menu adaptations, tailored advertising for the region, and to operate with new local suppliers making adaptations to Mexican laws simpler. This approach allows the brand to maintain the strong Chick-fil-A core identity while

attempting to build a strong relationship with Mexican consumers and positioning itself as a strong competitor.

COMPETITIVE ANALYSIS

Chick-fil-A's has many competitors because of such a wide range of restaurants in the fast food market. The product that Chick-fil-A generally seeks to sell consists of fast, convenient, quality food. The main competitors in the market taken into account were Burger King, McDonald's, El Pollo Loco, and KFC. Burger King has a 5.6% market share in the global fast food market and had \$11.48 billion in revenue in 2024 (PR newswire). McDonald's has a 15.4% global fast food market share along with \$25.92 billion in revenue for the last year (McDonald's Corp). El Pollo loco has a .82% fast food market share and \$473.01 million in revenue for 2024 (DFCModeling). Lastly, KFC has 2.82% fast food market share and had \$26.07 billion in revenue for 2024 (Sarah Lee). KFC and El Pollo Loco specialize in the chicken industry while Burger King and McDonald's do as well but lean more heavily into burger options. Burger King and McDonald's would be some of Chick-fil-A's indirect competitors while KFC and El Pollo Loco are going to be more direct by selling the same products as Chick-fil-A. All four brands use combo deals, promotions, limited time deals, and localized menus to draw in consumers. A combo Kruncher at KFC in Mexico meal combo with medium fries and a drink costs \$7.58 USD ("KFC"). A cheeseburger meal combo at McDonald's costs \$9.81 ("KFC"). A four piece meal combo at El Pollo Loco costs \$10.30 (Sophia). A double burger meal combo at Burger King costs \$9.21("Burger King a Domicilio"). All four companies compete on the same target market with affordable meal offerings, satisfying customer needs and their speed and convenience, but there are a few things that have set these companies apart, allowing them to climb the market share chain, gain brand loyalty, and see extreme growth globally. We examined the four different

competitor companies' competitive strategies in order to understand how Chick-fil-A can differentiate itself and use its pricing, placement, promotion and product to its advantage. Burger King used differentiation techniques in the fast food market to entice customers to buy from them. Their marketing techniques of taking fast food and allowing more flexibility and customization in order allowed customers to have more choice in the products along with the convenience. McDonald's is the other top competitor with any fast food brand and has the closest menu look to Burger King. McDonalds appeals to customers through their generalized menu and their nostalgic ties that people have, remembering happiness along with the Big Mac (The Strategy).

Both Burger King and McDonalds have extremely different menus than Chick-fil-A's offerings, so KFC can be seen as more of a direct competitor to the company. KFC emerges as a threat to Chick-fil-A's implementation and is a competitor that is crucial in examining marketing strategies. KFC uses promotions for family meals rather than "dollar menu" items, placing themselves on a more premium scale. With KFC being on the premium side, they are the largest competition with Chick-fil-A. KFC has done a really good job with giving quality ingredients to customers, benign transparency with ingredients used, processes of production and sustainability. What KFC has done particularly well when expanding globally is their product adaptation. KFC in Mexico offers flavors of Jalapeno, Habanero and spicy BBQ whereas in the US there are not many flavors offered to customers. They offer more spicy flavors than the US and also more options for chicken sandwiches and dips. Using adaptation to Mexico's flavor profile and preferences can really help Chick-fil-A stand out and differentiate itself from the competition if able to make a menu that people are attracted towards (Avella). El Pollo Loco is a strong competitor as well in its already made Mexican style chicken options. The company offers

variety with quality and has a good base of customer service that makes Chick-fil-A one of its largest competitors. All four of the companies do a great job with technology and new order processing, convenience, takeaway options, loyalty programs, discounts and adaptations. Next, we follow how Chick-fil-A is going to differentiate itself and enter into the Mexican fast food market.

INTERNATIONAL MARKETING MIX:

DESCRIPTION

Chick-fil-A is a fast-food style restaurant specializing in quality Fried Chicken dishes, Waffle Fries, and Sides. Their most popular chicken dishes include Chicken sandwiches, Chicken Strips, and Chicken Nuggets. When expanding into Mexico, Chick-fil-A will employ a partial adaptation strategy keeping key menu items standardized and adapting others to Mexican Consumers. Chick-fil-A will keep menu items such as the Chicken Sandwich, Deluxe Chicken Sandwich, Chick-fil-A Nuggets, and Chick-fil-A Chick-N-Strips. Other menu items will be adapted to Mexican cuisine such as The Pollo Picante sandwich which includes Mexican flavors like chipotle and tabasco topped with freshly sliced avocado. Other adaptations can include an Elote Style Macaroni and Cheese, using a popular Mexican dish and giving it a twist, along with local ingredients such as cotija cheese and corn. Chick-fil-A can also add new sauces of choice that adapt to the Mexican flavor profile such as a chili-lime crema sauce for chicken, fries or salads, a lighter orange, habanero sweet and sour, and a roasted garlic cilantro and herb sauce. The spice and herb flavors are all popular ingredients and tastes in the Mexican flavor profile and street food that can help attract new customers to Chick-fil-A.

Regarding branding and packaging, no modifications will be made visually to Chick-fil-A the logo. All text besides the business name will however, be translated into Spanish.

For example: “Bievenido a Chick-fil-A” rather than “Welcome to Chick-fil-A.” Chick-fil-A has been historically packaged in simple red and white boxes and bags lined with reflective foil, that brandish the Chick-Filet logo. The original packaging will continue to be used for the expansion. Maintaining the same packaging will keep in touch with Chick-fil-A’s simple and modern appeal and will prove to be cost saving as well. Chick-fil-A currently uses a loyalty program to incentivize returning customers, which will be heavily advertised within Mexican Chick-fil-A’s. Customer feedback ipads will be installed by the doors to track how the expansion is being received by Mexican customers. Sponsorship investments will also be made into local teams to build brand loyalty in the community.

PRICING

Chick-fil-A accounts for 38.7% of revenue for the Fast Food Chicken Industry and is the leading restaurant in this Industry in the United States. They make upwards of \$24.7 billion in revenue and have more than a 5% market share in this industry and are making \$1,148.1 million in profit as of 2025 (IBIS World). Chick-fil-A uses a value based pricing strategy which is where products are priced according to perceived value of the product or the quality rather than competitor prices. Chick-fil-A positions itself to be a higher-end, premium fast food chain and is normally segmented toward a little more of a higher disposable income group of people (Weldon). We’ve found that Mexico’s consumers like to get value for their money so a value based pricing strategy would be the right strategy to keep for the company implementing itself into Mexico. However, Mexican mean income and GDP is lower than that of the United States, so we needed to lower prices of the chicken sandwich. The best method of doing so was by using our earlier evaluation of the Big Mac Index and Purchasing Power Parity (PPP) to understand what a chicken sandwich would cost when implemented into Mexico. Here is what we found

using *The Economist*, the company who created the Big Mac Index in 1986: The Mexican peso is 17.7% undervalued against the US dollar. This means that the Mexican peso (MXN) is believed to be worth less than what it should be. Based on income, earnings, growth and economy of Mexico this percentage of overvaluation should be moving downward. “A Big Mac in Mexico costs 99MXN which is about \$5.28 U.S. Dollars. This means the Big Mac in Mexico is 12.2% cheaper because in the United States the Big Mac is sold for \$6.01 USD.” From research or real GDP in each country economists have stated that they believe the Big Mac should, in reality, be 25.4% cheaper than the Big Mac in the U.S. This would hypothetically make the Big Mac cost \$4.48 in Mexico. When finding overvaluation *The Economist* has set up their own GDP adjusted calculation to compare discount, overvaluation and undervaluation. We have just left this calculation as is to keep price changes simple. There is a formula to find why the peso is 17.7% overvalued, but in terms of our implementation we think about this in a way that the Mexican peso is too strong and things are too overpriced by 17.7%.

We’ve decided to take the same Big Mac Index structure and percentage and apply it to how our prices will change for an Original Chicken Sandwich in the United States versus Mexico. In Georgia an original Chicken Sandwich is sold between \$6.35-\$6.45. Taking the 12.2% lower price in Mexico we have calculated that the original Chicken Sandwich Chick-fil-A sells in Mexico should range from \$5.58 - \$5.66 USD and 103.33MXN - 104.81MXN. A normal range of prices for fast food in Mexico is about 50MXN to 200MXN so Chik-Fil-A’s sandwich will still be in a middle to premium range of pricing even as we set prices for meals and promotional items (“Our Big Mac Index Shows How Burger Prices Differ”).

PLACEMENT

When entering the Mexican market, Chick-fil-A will need to use a franchising approach. This is the strategy where a franchisor grants a franchisee the right to operate a business using the brand name, business model, and operational systems in exchange for fees and royalties. With franchising, Chick-fil-A will maintain its brand image and consistency while expanding into international markets.

Some of the advantages for Chick-fil-A entering the market under a franchise are that it has a low initial investment with high revenue potential. The franchise fee to open a Chick-fil-A is \$10,000, and the franchise has no requirement for minimum net worth or liquid assets (Campisi). Chick-fil-A's generate about \$8.1 million in annual sales on average (Campisi). Franchisees have a bit of an upper hand when opening a new store, as Chick-fil-A has a strong brand presence in the market with over 8,000 applicants per year. For the past 9 years, they have been at the number one spot on the American Customer Satisfaction Index (Campisi). We believe that this brand recognition, through proper marketing, can prosper just as well in the Mexican market. All Chick-fil-A restaurants follow a specific brand menu, system, and training. This leaves new franchises with a set step-by-step plan when opening a new store, allowing them to feel more confident in running the business. All Chick-fil-A stores share the same direct-to-consumer ordering, a long franchisee interview process taking between 12–24 months, a work-life balanced schedule, and the same recipe since 1967.

One of the biggest disadvantages Chick-fil-A will face when entering the Mexican market is adaptation for the brand and the new consumers. To appeal to a new culture, they may need to consider menu adaptations and include new items. As Mexico already has fast-food chicken competitors in the market and Chick-fil-A does not carry brand awareness in the

Mexican market, the brand will need to leverage heavily in marketing strategies to show how they differentiate from competitors. The franchise will also need to adapt to Mexican franchise laws, labor regulations, and Mexican health and safety standards, which include nutritional warning labels and COFEPRIS standards. Another challenge will be finding local suppliers. Yes, Chick-fil-A utilizes national suppliers for things like chicken, condiments, and buns; however, part of their values is leveraging local suppliers for specific produce or baked goods to support the local economy. They will need to find reliable Mexican local suppliers for these products that meet government regulations and brand standards.

As for the franchisees in particular, there is also a royalty and profit-sharing structure. Chick-fil-A charges a 15% royalty and takes 50% of all profits for franchisees (Campisi). Even with a lower initial investment, competitors range between 4% to 6% (Campisi). For franchisees, there is limited operational control. This means that the brand manages a majority of the starting process.

PROMOTION

Chick-fil-A has a previously strong knowledge of opening franchises within the United States, expanding into international regions calls for adaptation. The main goal is to be able to create strong customer relations, brand awareness, and community involvement. The communication infrastructure is a promotional strategy, allowing for core messages to be received by the consumer. Chick-fil-A will use a method of digital and local communication to be able to efficiently and effectively convey media. Additionally, using bilingual communication will open up doors to a bigger target audience, knowing that Mexico City can be a touristy spot.

Establishing local partnerships with universities, schools, and other local establishments can help boost local support.

For advertising and media, digital ads are prominently what dominates in this day and age. Social media like youtube, tik tok, instagram, and facebook reach massive audiences of all ages. Billboards and radio streaming, although not as popular as it used to be, will still make an impact (Hiraoka). Advertisements in the paper or in magazines will also be added for just an overall better reach. Lastly, partnerships with influencers which has been growing at an exponential rate and ties into the social media aspect.

In personal selling terms, Chick-fil-A would continue to put emphasis on service culture as that is one of their main focuses. Employees will keep using polite manners as they do in the U.S like “my pleasure” that will set them apart from other fast food brands. The company will further be able to connect with the community by establishing a strong customer loyalty and partnering with local businesses and establishments. There is also an aspect of catering where the brand is able to expand its name upon professional events.

The sales promotion that Chick-fil-A would implement would play a huge role in market entry and how they will reach their audience. Incentives will be used to appeal to members to explore app based rewards, meal combos, and student or family promotions allowing them to use the app and interest people to become members (Mordor). Customer loyalty plays a key part in the sales promotion, as the mobile app is an engagement hub that allows for a virtual engagement reaching more people. Localized menus and limited time offers can to a greater extent connect with customers on a cultural level in Mexico (Restolabs).

Chick-fil-A’s public relations strategy will focus on creating and keeping a strong brand reputation through community involvement. Community service events, and setting up crisis

management plans in case the public has any concerns will create a trustful relationship between consumers. Participating in charity and local causes will show that Chick-fil-A yearns for a good relationship within society, which is very valued in Mexican society. Sponsorships within retail, youth sports, digital media add a local aspect to the company and promote the name while also aligning with the community value. This will be done with clear communication and quick responses to anything that could possibly go wrong to be able to build the brand perspective and trust (Restolabs).

Social media is clearly one of the biggest forms of promotion in today's society and Chick-fil-A will use it to its full potential. Platforms like Instagram, Tik Tok, Twitter, and Facebook will create content in Mexican Spanish using slang and word rhymes on social media platforms will engage the audience. Partnerships with influencers especially with targeting our younger audience is a strategy that can reach a visual review of the product. Posting regularly about community engagement and new menu products or promotions is a way to keep users attentive with following Chick-fil-A's social media accounts.

A modern engagement in Mexico City will motivate Chick-fil-A to focus on authenticity, service, and being able to allow it to adapt to the new culture it is trying to enter. Building a strong community relationship gives the opportunity to introduce the brand and its reputation ultimately allowing for the greatest profit. Using up to date promotion tactics is crucial to be able to reach the correct demographic effectively, not only to make a profit but also to keep customers loyal for a lifetime. The strategies taken in our approach align directly with strong recommendations from restaurant marketing experts, who emphasize that a way to successfully promote in the Mexican market has a huge weight on local authenticity, cultural respect, and community participation (RestoLabs).

PROJECT FINANCING

When looking at the costs to start the Chick-fil-A franchise in Mexico, we need to look at customer convenience, local economic conditions, facility expenses, and labor costs. For customers, the restaurant will accept all forms of payment continuing to follow the other traditional Chick-fil-A franchise stores. These forms of payment include payments from the Chick-fil-A app, gift cards, apple pay and apple cash, debit/credit cards, and cash.

The financing behind this project will be similar to the traditional Chick-fil-A franchise stores in the states. The first store in Mexico City will have the equivalent franchise fee of \$10,000 or MX\$183,512. As Chick-fil-A has expanded to the UK, they have continued to maintain this franchising fee internationally. The typical Chick-fil-A store is about 4,000 sqft for a traditional drive-thru Chick-fil-A store. While analyzing costs, we project that the monthly rent for a facility this size in Mexico City would be about \$10,800 (MX\$198,160) per month (Colliers “Mexico Retail Market Summary 1S 2025”).

As for the employees, part-time minimum wage will start at \$12 or MX\$220 working 9-30 hours per week. Full-time starting wage will be \$16 or MX\$295 per hour working 32+ hours per week, with opportunities for advancement. Higher ranked employees and managers' pay will range from \$18 or MX\$332 to \$25 or MX\$460 per hour depending on the specific roles.

Since Chick-fil-A lacks brand awareness in Mexico we would like to take an approach that uses the basic outdoor and digital ads but also includes some strong influencer involvement and local PR events. Some examples may be university pop ups, local community events, soft launch to food bloggers, local influencers, and local association leaders who can spread the word and get people in the door. In the first 3-6 months, we plan to spend \$30,000 (MX\$553,440) on

advertising per month. After launching and gaining brand awareness in the country we will lower the budget to \$20,000 (MX\$368,960) per month.

CONCLUSION

The research conducted throughout this project supports the business proposition of the Chick-fil-A franchise expanding into the Mexican fast-food chain market. While analyzing the country, we found that the most feasible location for the franchise to prosper, when first entering the market, is Mexico City. This is due to the country's demographics, economic and political environments, culture, and the current business market.

With a steadily growing middle-aged population, Mexico City shows a promising target demographic. When evaluating the economic environment in Mexico, we identified challenges Chick-fil-A must overcome, such as its slow GDP rate, high inflation, and currency conversion. However, with the proper pricing strategy and a proper target market—middle-class individuals in Mexico City—the franchise will become a strong competitor. Understanding the country's economic state will be essential for Chick-fil-A to successfully position itself in the market, set prices, and operate effectively within Mexico.

The cultural and business environments in Mexico are closely connected. The country emphasizes family and social connections, which means Chick-fil-A will need to internalize these values while still maintaining the brand's own values. As the country has a high respect for hierarchy and regulations, it is critical for the franchise to comply with government laws to establish a lasting presence.

Chick-fil-A will face strong, established competition in the new market, including KFC and El Pollo Loco, which are direct chicken competitors, and Burger King and McDonald's,

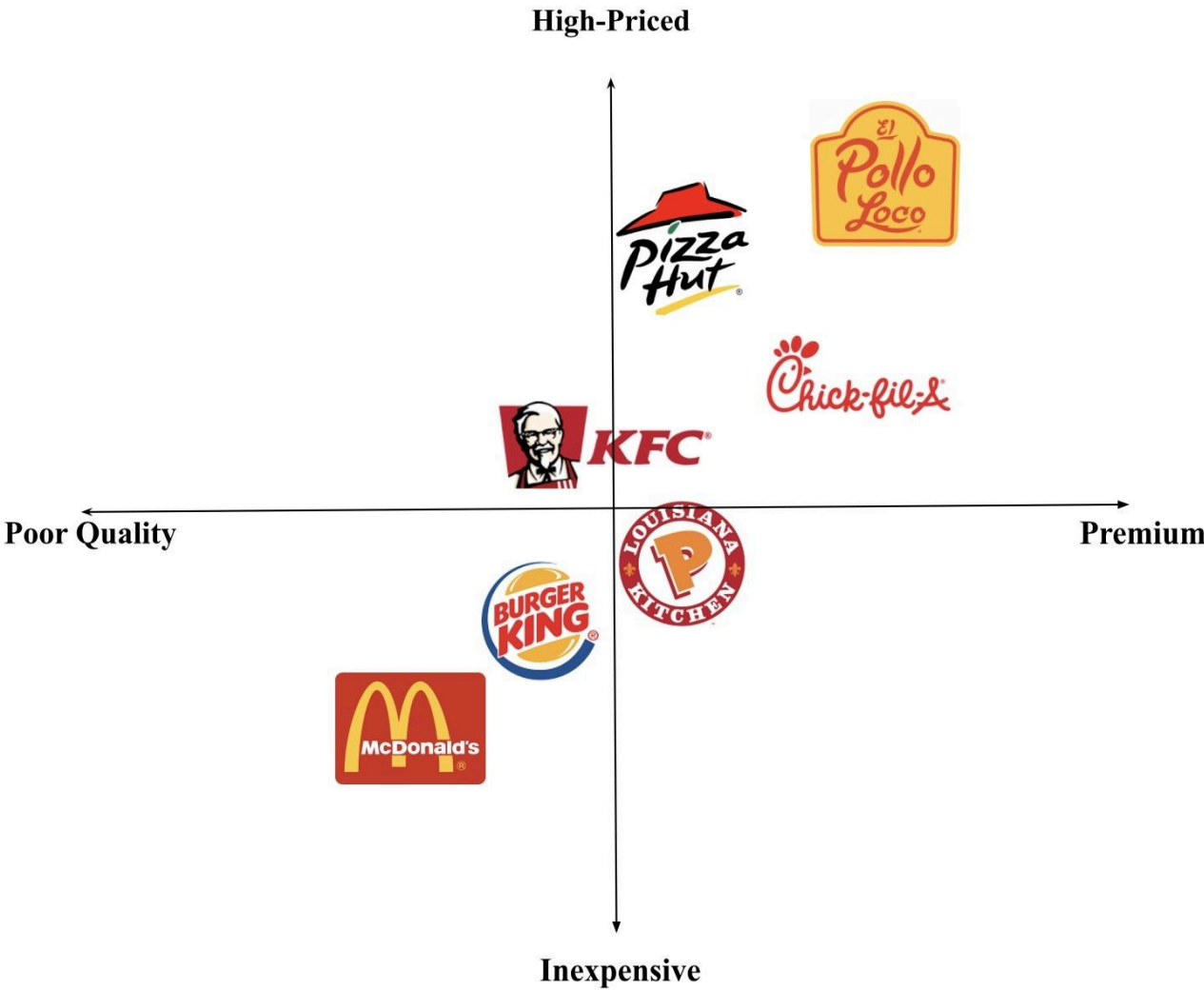
which are fast-food chain competitors. When conducting a SWOT analysis for Chick-fil-A, we highlighted our strengths and opportunities and created a blueprint for the brand's threats and weaknesses. Our analysis indicates that Chick-fil-A's strengths—such as consistency in quality and menu, customer service, and company culture—can create the entry window needed to enter the market. However, challenges such as limited brand awareness, new regulations, and supply chain uncertainty will require adaptation and application of its opportunities to flourish in the Mexican market.

As Chick-fil-A expands internationally into the Mexican market, we plan to maintain the core brand image while still adapting to cultural tastes and market conditions. We will maintain the traditional menu while including special menu options for the region. A similar approach will be taken with local pricing. With a careful approach to cultural adaptation, strategic pricing, and operational excellence, Chick-fil-A is well-positioned to thrive and establish a lasting presence in the Mexican market.

SWOT ANALYSIS

Strengths ● Simplicity ● Secret recipe ● Fast and consistent ● High brand awareness/strong brand rep ● Strong customer service ● Cleanliness ● Consistent in franchises ● High quality ● Management and employee relationship is strong ● Rewards program ● High profit/good employee benefits ● Community Involvement ● Easy decisions for customers ● Upstream ordering	Weaknesses ● Closed on sundays ● No brand awareness ● Vulnerability to supply chain disruptions ● Limited international presence ● Limited menu ● Strict franchise control ● Price sensitivity, labor and operational costs ● “Premium” fast food
Opportunities ● Digital growth (delivery/online ordering) ● Sustainability initiatives ● Room for menu localization ● Health/Wellness trends ● Market Analysis	Threats ● Intense competition ● Changing customer preferences ● Supply chain & sourcing risks ● Regulatory legal obligations for franchises ● Rising costs ● Stricter food regulations in Mexico than US

BRAND POSITIONING MAP



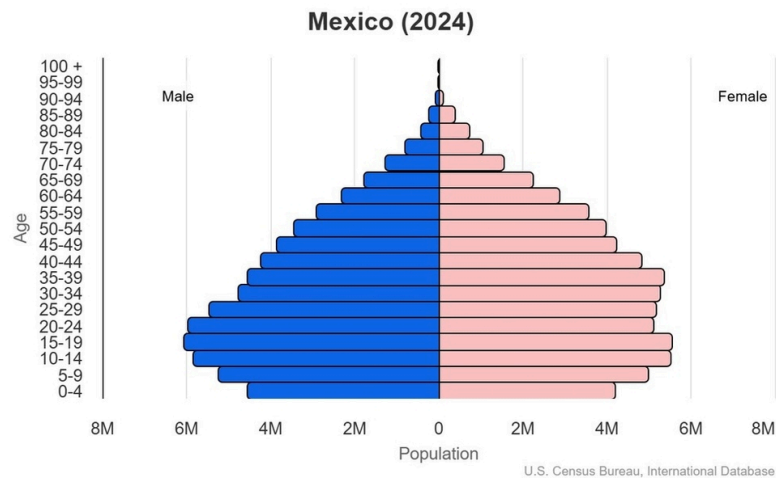
Appendix A

This appendix consists of a map of Mexico showcasing the geographic location of the country of implementation



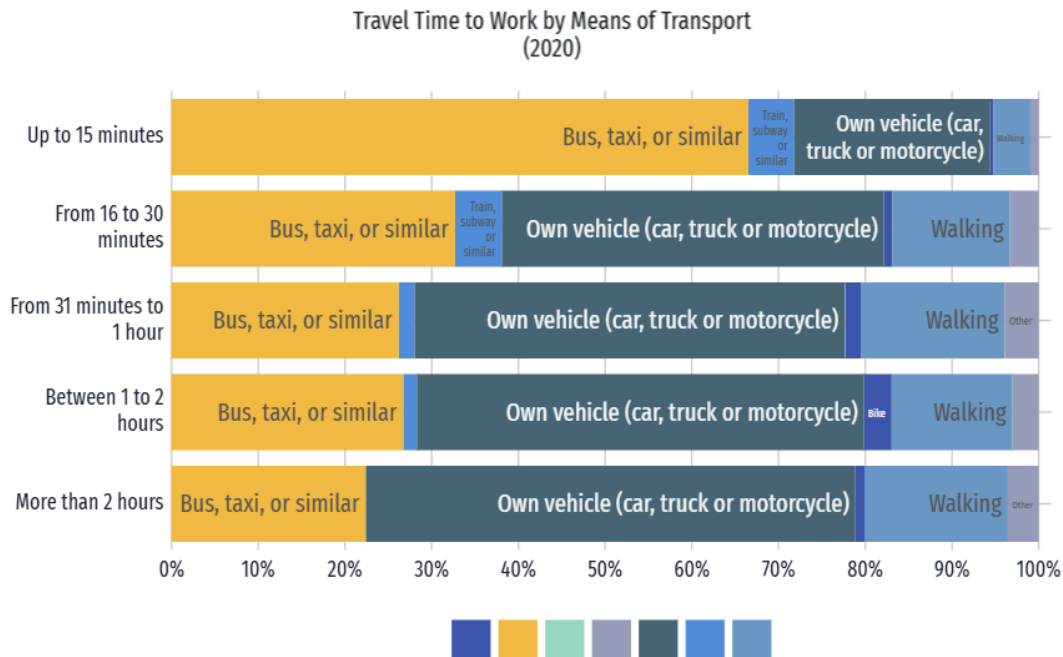
Appendix B

This appendix is a link to the population pyramid of Mexico from [CIA.gov](https://www.cia.gov). This gives context to how each generation and grouping of gender is separated and dispersed by age in Mexico.



Appendix C

This appendix correlates to the psychographic analysis conducted during the customer analysis phase of the paper. The graph shows travel time to work as of 2020 of the people in the municipality of Miguel Hidalgo



www.economia.gob.mx/datamexico/en/profile/geo/miguel-hidalgo

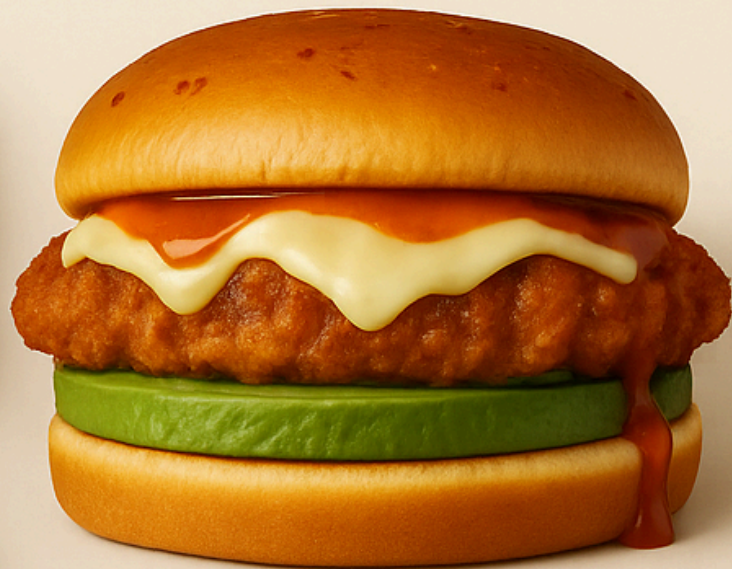
Appendix D

This appendix displays an AI generated idea for what the ideal customer persona would look like for the consumer eating Chick-fil-A in Mexico. Below the family we have created a look for the facility of Chick-fil-A followed by an AI Generated advertisement of flyers that may be posted outside or on social media of Chick-fil-A's menu adaptation.



Chick-fil-A

MÉXICO EXCLUSIVES



Pollo Picante



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